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Dear clients,

US spot bitcoin ETFs have seen tremendous net inflows in their first month since launch, totaling an impressive US\$3.3B (over \$4.2B year-to-date). This momentum has helped the total crypto market capitalization recover to \$2T, last seen in March 2022. We believe bitcoin in particular (and crypto more generally) should remain well-supported in the next 3-6 months, as more institutional players adapt to the new ETF reality alongside the ongoing global narrative of monetary reflation.

Separately, the Ethereum client centralization risk has been largely mitigated now that Geth's 85% supermajority has been reduced to less than 50%. The quick turnaround following separate issues earlier in January surrounding Ethereum's Besu and Nethermind clients speaks to the maturity of the network and the stability that results from client diversity. We also think Ethereum has a number of technical catalysts slated for 1H24, particularly around its restaking protocols. Over the past several months, Ethereum's restaking protocol has attracted billions in liquidity. In fact, in our view, it's been the driver for the growth of the validator entry queue on Ethereum, which has not been empty since the end of January – the longest period since it initially emptied out in October 2023.

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Best,
The Coinbase Institutional Team

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